

**FORD v. QUILL: A TURNING POINT IN THE ARCHITECTURE OF
MODERN LEGAL PRACTICE****Kildeev Adel**

Leningrad State University named after A.A. Zhdanov (1990)

PhD in Law

ORCID: 0009-0001-2211-4944

Abstract: This Article examines the civil action **Ford Motor Company v. Quill & Arrow LLP** as a potential turning point in the evolution of modern legal practice. Moving beyond a descriptive review of the Complaint, the Article analyzes the Plaintiff's litigation strategy, the legal foundations of the asserted claims under California Penal Code § 496 and California Business and Professions Code § 17200, and the Defendant's anticipated procedural defenses under Rules 12(b)(6) and 9(b) of the Federal Rules of Civil Procedure. The Article further explores the potential criminal implications that could arise if the Complaint's factual allegations were ultimately established through admissible evidence, including possible application of California criminal law, federal mail and wire fraud statutes, conspiracy provisions, and the Racketeer Influenced and Corrupt Organizations Act (RICO). Rather than predicting criminal liability, the Article identifies the principal legal issues that prosecutorial authorities could be required to evaluate should the underlying allegations ultimately be proven. Finally, the Article argues that the long-term significance of *Ford v. Quill* extends far beyond artificial intelligence. The litigation may become a catalyst for broader institutional reform affecting attorney billing, technology-assisted legal services, client disclosure obligations, professional supervision, malpractice liability, law-firm governance, and the economic organization of legal practice. In that respect, the case represents not merely another dispute over attorney's fees, but a potential judicial milestone in the transformation of twenty-first-century legal services.

Keywords: *Ford Motor Company v. Quill & Arrow LLP*; technology-assisted litigation, attorney billing; legal malpractice; litigation strategy; California Penal Code § 496; California Business and Professions Code § 17200; Rule 12(b)(6); Rule 9(b); RICO; legal profession reform.

The use of generative models ChatGPT (OpenAI), Gemini (Google), Grok (xAI) in drafting this article illustrates, rather than undermines, its central thesis: LLMs function as instrumenta vocalia—tools assisting in linguistic production without possessing understanding, intention, or authorship. Their involvement does not alter the locus of legal or intellectual responsibility, which remains exclusively with the human author, who makes all substantive, structural, and evaluative decisions. LLM outputs cannot be accorded independent legal or intellectual status apart from the human author.

Chapter I. Introduction: The Three Waves of AI-Related Legal Transformation

The rapid integration of large language models into legal practice is no longer a technological phenomenon. It has become a source of structural legal transformation. Claims involving AI systems and their developers now arise across multiple doctrinal fields, including copyright, privacy, consumer protection, antitrust, employment, and professional regulation. AI litigation is therefore beginning to emerge as a recognizable category of disputes with its own recurring factual patterns, legal tensions, and procedural filters.

The legal response has evolved in identifiable stages. Each successive wave asks a deeper institutional than the previous one. Each wave has addressed a different question, gradually shifting the focus from the reliability of AI-generated legal work to the future architecture of the legal profession itself.

The First Wave (Reliability) was driven primarily by judicial sanctions for fabricated citations and hallucinated legal authorities. Cases such as *Mata v. Avianca*¹ and subsequent disciplinary proceedings demonstrated that LLMs could not replace a lawyer's independent professional judgment. The principal question of this stage was straightforward: **Can AI-generated legal work be trusted?** The author's earlier articles on procedural liability, judicial sanctions, verification duties, and technology-assisted litigation examined precisely this phase of legal development.²³⁴⁵

The Second Wave (The Economics and Architecture of Legal Practice) is now emerging. Rather than focusing on the accuracy of AI-generated legal texts, it concerns the economics and organizational structure of legal practice itself. The recently filed case *Ford Motor Co. v. Quill* signals a fundamental shift in perspective. The central issue is no longer whether artificial intelligence may hallucinate. Instead, the litigation asks a more consequential question: **Who actually performed the legal work for which clients—or courts—are being charged?**

This shift transforms the legal debate. Questions of AI disclosure, offshore legal support, billing transparency, verification duties, professional responsibility, and the allocation of legal fees become elements of a broader discussion concerning the architecture of legal practice. The dispute therefore extends far beyond a single controversy over attorney

¹ *Mata v. Avianca, Inc.*, No. 22-cv-1461 (S.D.N.Y. 2023).

² Kildeev A., Rule 12(b)(6) As the Procedural Architecture of Artificial Intelligence Litigation in the United States; ISSN 3033-7674. Scientific Platform 21st Century Journal, No 4 (April 2026), pp. 44-68. Electronic resource: <https://www.episs.ru> (accessed 04.08.2026).

³ Kildeev A., *Nippon Life v. OpenAI: Tort, Unauthorized Practice of Law and the First Private Offensive against LLM-Assisted Legal Drafting*; ISSN 3033-7674. Scientific Platform 21st Century Journal, No 4 (April 2026), pp. 15-43. Electronic resource: <https://www.episs.ru> (accessed 04.08.2026).

⁴ Kildeev A., *Procedural Liability in the Age of LLMs*; SSRN Working Paper No. 6648340.

⁵ Kildeev, A., *Simulated Reasoning and the Crisis of Legal Liability* (2026), SSRN Working Paper No. 6524139.

billing. It challenges the traditional assumptions underlying the production, supervision, verification, and valuation of legal services.

The Third Wave (Prediction) has not yet arrived—but it is already visible on the horizon. If *Ford v. Quill* proves to be at least partially successful, the next stage may well be massive lawsuits by clients against law firms for revision of accounts; claims for the return of part of the fees; malpractice claims; mandatory AI disclosure; discovery by AI workflows; checking billing records and a fundamental redefinition of professional responsibility in technology-assisted legal practice.

This article argues that *Ford v. Quill* should be understood not merely as a dispute over legal fees, but as an early turning point in the architecture of legal practice. It further suggests that this litigation may mark the beginning of a broader restructuring of legal practice itself, potentially leading to future client actions seeking reimbursement of excessive legal fees, mandatory disclosure of technology-assisted legal work, expanded malpractice claims, and new standards governing professional responsibility in the age of generative AI.

Chapter II. *Ford v. Quill*: From Reliability to the Economics of Legal Practice

2.1. California Lemon Law: Historical Background and Economic Incentives

California's Lemon⁶ Law represents one of the most comprehensive statutory consumer warranty protection regimes in the United States. Its legislative origins date to the **Song-Beverly Consumer Warranty Act of 1970**, enacted to strengthen consumers' ability to enforce manufacturers' written warranties and to provide effective statutory remedies beyond traditional contract and warranty law.⁷

With respect to motor vehicles, the Act requires manufacturers that are unable to repair a vehicle after a reasonable number of attempts to either replace the vehicle or repurchase it. In 1982, the California Legislature further strengthened this framework by adopting the **Tanner Consumer Protection Act**, which introduced statutory presumptions defining when a vehicle may be considered a "lemon." Together, the Song-Beverly Act and the Tanner amendments form what is commonly known as the **California Lemon Law**.⁸

Unlike ordinary commercial litigation, the California Lemon Law incorporates a deliberate **fee-shifting mechanism**. Where the consumer prevails, the manufacturer must pay the prevailing buyer's reasonable attorney's fees and litigation expenses.⁹ The

⁶ Lemon is an American colloquial designation for a car with significant irreparable defects; hence the term lemon law (author' comment)

⁷ Song-Beverly Consumer Warranty Act, Cal. Civ. Code §§ 1790–1795.8 (West). Available at: <https://leginfo.ca.gov> (accessed: August 4, 2026).

⁸ Tanner Consumer Protection Act, Cal. Civ. Code § 1793.22. Available at: <https://leginfo.ca.gov> (accessed: August 4, 2026).

⁹ Cal. Civ. Code § 1794(d); *Murillo v. Fleetwood Enterprises, Inc.*, 17 Cal. 4th 985 (1998).

California Legislature intentionally adopted this approach to eliminate the economic barrier to legal representation in warranty disputes. Without fee shifting, many consumers would be unable to retain counsel because the expected litigation costs would frequently exceed the value of the underlying claim.

From a public policy perspective, the statute has largely achieved its original objective. For more than five decades, the California Lemon Law has provided consumers with an effective mechanism for enforcing warranty rights while encouraging manufacturers to resolve legitimate claims without prolonged litigation.¹⁰

At the same time, however, the statute's economic architecture produced an unintended consequence. Because attorney's fees became recoverable independently of the consumer's direct monetary recovery, California gradually witnessed the emergence of highly specialized law firms devoted almost exclusively to high-volume Lemon Law litigation. Over time, attorney-fee awards evolved from an ancillary procedural mechanism into one of the principal economic drivers of this area of legal practice. It is precisely this economic structure—not the consumer-protection objectives of the statute itself—that provides the necessary background for understanding the dispute in *Ford Motor Company v. Quill & Arrow LLP*.

2.2. The Complaint

Ford Motors Company v. Quill & Arrow LLP was filed in the United States District Court for the Central District of California on June 18, 2026, as Case No. 2:26-cv-06614.¹¹ Public docket sources identify Ford Motor Company as the plaintiff and Quill & Arrow LLP as defendant. The publicly available Complaint consists of 33 pages and references supporting exhibits.

The Complaint alleges that Ford Motors Company is an automobile manufacturer under the laws of the State of Delaware, with its principal place of business in Michigan. It further alleges that Quill & Arrow LLP is a law firm, a California limited liability partnership with its principal address in Los Angeles, California.¹² The pleading invokes federal diversity jurisdiction under 28 U.S.C. § 1332 and 28 U.S.C. § 1391 (b), expressly

¹⁰ *Murillo v. Fleetwood Enterprises, Inc.*, 17 Cal. 4th 985 (1998); *Robertson v. Fleetwood Travel Trailers of California, Inc.*, 144 Cal. App. 4th 785 (2006).

¹¹ Electronic source: <https://atra.org/wp-content/uploads/2026/06/Complaint-in-Ford-v.-Quill-CDCA-06.18.2026.pdf> (accessed 04.08.2026)

¹² **Author's comment:** About the Defendant. Quill & Arrow LLP is a California plaintiffs' law firm focused primarily on automobile warranty litigation under the state's *Lemon Law*. Headquartered in Los Angeles, it also maintains offices in San Francisco and Sacramento. LinkedIn classifies the organization within the 201–500 employee range, although that figure is self-reported and has not been independently audited. The firm operates as a highly departmentalized, high-volume litigation practice, with separate units for client intake, case evaluation, pre-litigation, litigation, settlements, quality control, and related administrative functions. It has represented consumers in large numbers of warranty disputes against major automobile manufacturers and has also expanded into personal-injury and employment matters. Quill & Arrow is therefore better understood not as a small litigation boutique, but as a sizeable legal-services enterprise built around the standardized processing of consumer claims.

alleging diversity jurisdiction and an amount in controversy exceeding \$75,000, exclusive of interest and costs.

At the procedural level, the case is significant because it does not arise from the now-familiar clusters of AI litigation involving training data, copyright, or competition law. The plaintiff files this complaint against defendant for damages, equitable, and other relief for the defendant's violation of California Penal Code Section 496 and California Business & Profession Code Section 17200.

Case 2:26-cv-06614 Document 1 Filed 06/18/26 Page 1 of 33 Page ID #:1	Case 2:26-cv-06614 Document 1 Filed 06/18/26 Page 23 of 33 Page ID #:23
1 KASOWITZ LLP 2 Daniel A. Saunders (SBN 161051) 3 DSaunders@kasowitz.com 4 Matthew S. Manacek (SBN 312834) 5 MManacek@kasowitz.com 6 1801 Century Park East, Suite 1830 7 Los Angeles, California 90067 8 Telephone: (424) 288-7900 9 Facsimile: (424) 288-7901 10 Edward E. McNally (<i>pro hac vice</i> application forthcoming) 11 EMcNally@kasowitz.com 12 Daniel J. Fetterman (<i>pro hac vice</i> application forthcoming) 13 DJFetterman@kasowitz.com 14 1633 Broadway 15 New York, New York 10019 16 Telephone: (212) 506-1715 17 Facsimile: (212) 506-1800 18 <i>Attorneys for Plaintiff Ford Motor Company</i> 19 UNITED STATES DISTRICT COURT 20 CENTRAL DISTRICT OF CALIFORNIA 21 FORD MOTOR COMPANY, a Delaware 22 Corporation, 23 24 Plaintiff, 25 26 v. 27 28 QUILL & ARROW LLP, 29 30 Defendant. 31 Case No.: 32 COMPLAINT FOR: 33 1. VIOLATION OF CAL. PEN. 34 CODE § 496 35 2. VIOLATION OF CAL. BUS. & 36 PROF. CODE § 17200 37 [Jury Trial Demand]	1 injunctive relief, Ford will continue to be forced to pay inflated restitutionary amounts 2 based on manufactured claims, extra-compensatory civil penalties, and improper fee 3 claims, as well as expend its own attorney's fees to defend against Quill's ongoing 4 unlawful, fraudulent, and unfair business practices. Ford also has sustained and will 5 continue to sustain incalculable reputational damage as a result of Quill's unlawful, 6 fraudulent, and unfair business practices and public representations. At a time when 7 consumer sentiment against American companies is at an all-time high—and hostility to 8 "Big Auto" is particularly severe—Quill's actions cause ongoing harm that cannot be 9 redressed through a mere damages award. 10 11 PRAYER FOR RELIEF 12 WHEREFORE, Plaintiff seeks a judgment against Defendant awarding the 13 following relief: 14 1. An award of actual damages in the amount to be determined at trial but 15 believed to be not less than \$25 million; 16 2. Treble damages; 17 3. Reasonable attorney's fees; 18 4. Pre-judgment interest according to statute; 19 5. Equitable relief, including restitution and injunctive relief; and 20 6. Any other relief that this Court deems just and proper. 21 22 DEMAND FOR JURY TRIAL 23 Plaintiff hereby demands a jury trial on all issues and causes of action triable by 24 jury. 25 26 27 28 29 23 30 COMPLAINT
Case 2:26-cv-06614 Document 1 Filed 06/18/26 Page 2 of 33 Page ID #:2	Case 2:26-cv-06614 Document 1 Filed 06/18/26 Page 24 of 33 Page ID #:24
1 Plaintiff Ford Motor Company ("Plaintiff" or "Ford") files this Complaint against 2 defendant Quill & Arrow LLP ("Quill") for damages, equitable, and other relief for 3 Quill's violation of California Penal Code Section 496 and California Business & 4 Professions Code Section 17200. In support of its claims, Ford alleges as follows: 5 INTRODUCTION 6 1. This action arises from a sweeping and systematic scheme by Quill to	1 Dated: June 18, 2026 2 3 KASOWITZ LLP 4 By: <u>/s/ Daniel A. Saunders</u> 5 Daniel A. Saunders 6 Matthew S. Manacek 7 Edward E. McNally (<i>pro hac vice</i> 8 application forthcoming) 9 Daniel J. Fetterman (<i>pro hac vice</i> 10 application forthcoming) 11 <i>Attorneys for Plaintiff Ford Motor</i> 12 <i>Company</i>

Pic 1. The first and the last page of the Complaint

Given that access to U.S. court records from Russia may be limited due to U.S. government sanctions-related restrictions and given the importance of precise legal language and the importance of legal language to understanding a court case, selected excerpts are reproduced below. The excerpts below are cited not as evidence of the merits, but to illustrate the plaintiff's pleading theory and legal framing:

INTRODUCTION

1. This action arises from a sweeping and systematic scheme by Quill to defraud Ford of tens of millions of dollars through fabricated attorney billing records, unauthorized practice of law, and deliberate obstruction of Ford's ability to fulfill its warranty obligations to its own customers that, among numerous other consequences, damages Ford's relationship with its customers and erodes future sales.
2. Quill holds itself out as a California law firm specializing in consumer claims under California's Song-Beverly Consumer Warranty Act (the "Lemon Law"), Cal. Civ. Code §§ 1790 et seq. In truth, Quill is not principally a law firm—it is a fraudulent and illegal billing factory, conceived and constructed to exploit the Lemon Law's fee-shifting provisions by manufacturing tens of thousands of cases and billing Ford and other automakers ("Automakers") at California attorney rates for work performed entirely by non-lawyers earning as little as \$13 per hour. And while Ford considers the California Lemon Law to be the most pro-consumer law in the country, even the generous remedies of the Lemon Law were not enough for Quill, which has chosen to exploit the trust afforded to plaintiffs' lawyers as officers of the court seeking fee-shifting under the Lemon Law to maximize its profits through fraud. Indeed, from engagement by its clients to final payment by Ford, fraudulent, unlawful, and unfair business practices permeate the entire lifecycle of each of the thousands of Lemon Law claims Quill manufactures each year.
3. The scheme operates on two interlocking tracks. On the "front end," Quill systematically corrupts the attorney-client relationship by recruiting Ford vehicle owners through deceptive advertising, coaching them to conceal Quill's involvement, scripting their communications with Ford to avoid triggering Ford's repurchase obligations, instructing them to ignore Ford's repurchase offers, and refusing Ford's requests for information required to calculate a statutory repurchase offer. These tactics are designed not to advance clients' interests—which would have been served by a prompt, pre-litigation vehicle repurchase—but to manufacture prolonged litigation and exposure to civil penalties from which Quill, not its clients, primarily benefits. Indeed, in numerous instances, Quill files lawsuits without client knowledge or consent.
4. On the "back end," Quill fabricates the billing records it submits to Ford and to courts. Quill's billing department takes time entered by overseas virtual assistants ("VAs")—sometimes referred to by Quill as "bots"—and domestic non-attorney staff for a variety of tasks and reallocates the time for those tasks to licensed California attorneys who never performed the work, billing it at California attorney rates of \$350 to \$950 per hour. In place of the actual time sheets in which the work is contemporaneously recorded, Quill submits false billing records to Ford and to federal and state courts, supported by false sworn declarations stating that the billing records are contemporaneous attorney time entries that Quill's Co-Founding Partner has "carefully reviewed and audited." In fact, the billing records are utter fabrications.
5. Since January 1, 2021, over thousands of cases, Ford has paid Quill more than \$100 million, of which Ford estimates approximately fifty percent—more than \$50 million—represents attorney's fees. Ford reasonably estimates, based on its review of a significant sample of fee applications that Quill has submitted to California courts, that no less than fifty percent of the fees Ford has paid were fraudulently and illegally obtained through Quill's systematic misrepresentation that tasks performed by non-lawyers were performed by California-licensed attorneys. On June 1, 2026, Ford demanded that Quill return the property that Quill unlawfully obtained from Ford. Quill has refused to comply with Ford's demand and to date has not repaid Ford.
6. Ford brings this action to recover the money fraudulently and unlawfully extracted from it, to obtain injunctive relief against Quill's continuing unlawful conduct, and to hold accountable those responsible for one of the largest attorney billing fraud schemes in California history.

2.3. Allegations

The Complaint presents a theory of liability that differs significantly from earlier AI-related litigation involving lawyers. Rather than alleging isolated instances of professional negligence or inaccurate AI-generated legal research, Ford Motor Company frames its case as a coordinated fraudulent enterprise allegedly designed to exploit

California’s statutory fee-shifting regime under the Song-Beverly Consumer Warranty Act (“California Lemon Law”).¹³

According to the Complaint, artificial intelligence constituted only one component of a broader operational model involving non-lawyer personnel, offshore labor, virtual assistants, attorney billing practices, and the alleged concealment of the actual manner in which legal services were produced.¹⁴

Ford repeatedly characterizes the alleged misconduct not as isolated billing irregularities but as **“a sweeping and systematic scheme”** intended to obtain attorney’s fees through misrepresentations concerning the nature, source, and value of legal services submitted for statutory fee recovery.¹⁵

The Court has not made any findings of fact. Accordingly, every allegation discussed in this section represents solely the plaintiff’s position as pleaded in the Complaint.

2.3.2. The Economic Structure of the Alleged Fraudulent Enterprise

According to the Complaint, the alleged fraudulent enterprise was economically viable because it combined several independent legal and commercial mechanisms into a single integrated business model. Ford contends that none of these mechanisms, viewed in isolation, would necessarily be unlawful. Rather, the alleged fraud arose from their coordinated use to generate attorney’s fees substantially exceeding the actual cost of producing legal services.¹⁶

The Complaint begins with California’s statutory fee-shifting framework under the Song-Beverly Consumer Warranty Act. Under that statute, a prevailing consumer may recover reasonable attorney’s fees and litigation expenses from the manufacturer. Ford alleges that Quill & Arrow systematically exploited this statutory mechanism by maximizing fee petitions rather than minimizing the time and expense required to resolve warranty disputes.¹⁷

The Complaint further alleges that the firm’s widespread use of contingency-fee agreements significantly reduced market constraints that would ordinarily exist in hourly billing relationships. Because clients generally did not pay attorney’s fees directly, but instead expected those fees to be recovered from the automobile manufacturer pursuant to the fee-shifting provisions of the Lemon Law, they allegedly had little practical incentive to monitor the number of hours billed, the identity of the individuals performing legal work, or the manner in which those hours were recorded.

¹³ Complaint Ford Motor Company v. Quill & Arrow LLP, et al., No. 2:26-cv-06614 (C.D. Cal. filed June 18, 2026), ¶¶ 1–3.

¹⁴ Complaint ¶¶ 2–8

¹⁵ Complaint ¶¶ 1

¹⁶ Complaint ¶¶ 1–6

¹⁷ Complaint ¶¶ 3–6.

According to Ford, this economic structure allegedly enabled the defendants to operate a two-tier production model. On the production side, legal work was allegedly performed, in substantial part, by lower-cost personnel, including virtual assistants, non-lawyer staff, offshore contractors, and technology-assisted workflows. On the billing side, however, the same work was allegedly presented as attorney services performed by licensed California lawyers and billed at hourly rates ranging from approximately \$350 to \$950 per hour.¹⁸

The Complaint further alleges that this differential between the actual cost of producing legal work and the attorney's fees ultimately recovered under California's fee-shifting statute constituted the principal source of the enterprise's profitability. Ford estimates that since January 1, 2021, it has paid Quill & Arrow more than \$100 million, approximately one-half of which represented attorney's fees. Ford further alleges that no less than fifty percent of those attorney's fees were fraudulently obtained because they were based upon systematic misrepresentations concerning who actually performed the underlying legal work.

2.3.3. Alleged Fabrication of Attorney Billing Records

According to the Complaint, the central mechanism of the alleged fraudulent enterprise consisted not merely in the use of artificial intelligence or non-lawyer personnel, but in the systematic fabrication of attorney billing records subsequently submitted to Ford and to California courts.¹⁹

Ford alleges that time initially recorded by overseas virtual assistants ("VAs"), whom the Complaint states were sometimes referred to internally as "bots," together with time recorded by domestic non-attorney personnel, was collected by Quill's billing department and subsequently reassigned to licensed California attorneys who had never performed the underlying work. The resulting billing records allegedly represented those attorneys as having personally performed legal services billed at hourly rates ranging from approximately **\$350 to \$950 per hour**.

The Complaint further alleges that the billing records ultimately submitted in support of statutory fee applications were not contemporaneous attorney time records. Instead, Ford contends that Quill replaced the original records with newly created billing statements allegedly misrepresenting both the identity of the individual performing the work and the nature of the services rendered. According to the Complaint, these submissions were accompanied by sworn declarations asserting that the billing records had been "carefully reviewed and audited," allegations that Ford expressly characterizes as false.

Ford estimates that, between January 1, 2021 and the filing of the Complaint, it paid Quill more than **\$100 million**, approximately one-half of which represented attorney's fees. Based upon its review of a substantial sample of fee applications, Ford alleges that **no**

¹⁸ Complaint ¶ 4.

¹⁹ Complaint ¶ 4.

less than fifty percent of those attorney's fees were fraudulently obtained because they were based upon systematic misrepresentations that work performed by non-lawyers had actually been performed by licensed California attorneys.²⁰

For purposes of the present Article, these allegations represent the core factual foundation of the Complaint. Artificial intelligence, virtual assistants, offshore personnel, and attorney billing are not pleaded as separate wrongs. Rather, according to Ford, they constitute interdependent elements of a single alleged fraudulent enterprise whose economic objective was to maximize statutory fee recoveries while minimizing the actual cost of producing legal services.

2.3.4. Alleged Production Model and Attorney Billing Practices

According to the Complaint, the alleged fraudulent enterprise depended upon the systematic separation of legal work into two distinct processes: the production of legal services and the presentation of those services for statutory fee recovery.²¹ Ford alleges that while the actual production of legal work was increasingly delegated to a combination of non-lawyer personnel, virtual assistants, offshore contractors, and technology-assisted workflows, the resulting work product was ultimately attributed to licensed California attorneys for purposes of billing and fee applications.²²

The Complaint alleges that Quill & Arrow established an operational workflow in which legal tasks were distributed among multiple categories of personnel whose labor costs differed substantially from those of licensed attorneys. According to Ford, this production model enabled the firm to reduce the actual cost of preparing pleadings, correspondence, discovery responses, settlement demands, and other litigation documents while continuing to seek attorney's fees calculated at prevailing California market rates.

Ford further alleges that the firm's billing practices obscured the distinction between the individual who actually performed a legal task and the attorney whose name ultimately appeared in billing records submitted in support of fee petitions. According to the Complaint, billing entries were allegedly revised, consolidated, or reassigned before being incorporated into attorney invoices and declarations supporting statutory fee applications. Ford contends that these billing records materially misrepresented both the source of the legal work and the extent of attorney participation in its preparation.

The Complaint also alleges that these billing practices were not isolated administrative irregularities but formed part of a standardized operating procedure applied across a substantial number of Lemon Law cases. Ford therefore characterizes the alleged misrepresentations as systemic rather than incidental, asserting that the same production

²⁰ Complaint ¶ 5.

²¹ Complaint ¶ 4-6.

²² Complaint ¶¶ 4, 13-17.

and billing methodology generated attorney-fee requests totaling many millions of dollars over several years.²³

For purposes of the present Article, these allegations are significant because they shift the legal focus away from the mere use of artificial intelligence. The central issue pleaded by Ford is whether the actual producer of legal work was accurately represented in attorney billing records and fee applications submitted under California's statutory fee-shifting regime. Artificial intelligence appears in the Complaint as one element of that broader production model rather than as an independent source of legal liability.²⁴

2.3.5. The Alleged Fraud Mechanism

According to the Complaint, Ford does not allege a series of isolated billing irregularities. Rather, the pleading describes an integrated mechanism in which each stage allegedly creates the factual and economic conditions necessary for the next. Reconstructed as a sequence of procedural and financial steps, the alleged scheme may be summarized as follows.

Stage 1. Aligning the firm's financial interest with litigation rather than early resolution.

The alleged mechanism begins when Quill enters into a contingency fee agreement (up to 50 per cent of the claimed amount) providing the firm with a substantial share of any recovery exceeding the client's actual damages, including statutory civil penalties. According to Ford, from this moment the firm's financial interest allegedly shifts away from achieving the prompt repurchase contemplated by the Song-Beverly Act and toward maximizing the ultimate value of the litigation itself.²⁵

Stage 2. Preventing the statutory repurchase process from succeeding.

Ford next alleges that Quill instructs its clients not to cooperate with Ford's repurchase process, including by refusing to respond to communications, withholding information necessary to calculate the statutory repurchase amount, and declining to participate in efforts that could resolve the dispute before litigation. According to the Complaint, these actions allegedly prevent the statutory mechanism from operating as intended.²⁶

Stage 3. Transforming procedural deadlock into a litigation advantage.

Once the repurchase process has allegedly failed, Ford contends that the resulting impasse is presented as evidence that Ford willfully failed to comply with its obligations under the Song-Beverly Consumer Warranty Act. According to the Complaint, the same procedural

²³ Complaint ¶¶ 5–7.

²⁴ Complaint ¶¶ 4–17.

²⁵ Complaint ¶ 16.

²⁶ Complaint ¶ 16.

deadlock allegedly created during the pre-litigation stage subsequently becomes the factual foundation for claims seeking statutory civil penalties.²⁷

Stage 4. Simultaneously increasing recoverable attorney's fees.

The Complaint further alleges that the continuation of litigation generates a second revenue stream. While the potential recovery of statutory civil penalties increases the value of the contingency fee, the expansion of litigation also increases recoverable attorney's fees. Ford alleges that Quill further enlarged these fee claims by attributing work allegedly performed by non-lawyers, contract personnel, overseas virtual assistants, and technology-assisted workflows to licensed California attorneys billing at attorney hourly rates.²⁸

Stage 5. Convergence of both revenue streams.

According to Ford, the alleged scheme reaches its economic objective when both financial mechanisms operate simultaneously. Each additional stage of litigation allegedly increases both the potential contingency recovery and the amount of attorney's fees claimed from Ford. The Complaint therefore characterizes the alleged misconduct as a coordinated business model in which delaying resolution of the underlying warranty dispute allegedly increases every significant source of the firm's compensation.²⁹

2.3.6. The Front-End Operational Mechanism

Having established the alleged economic incentives underlying the scheme, the Complaint proceeds to describe the operational mechanism through which those incentives were allegedly implemented. According to Ford, the front-end of Quill's Lemon Law practice was designed not as a traditional attorney-driven intake process, but as a standardized production system capable of handling a large volume of cases with minimal attorney involvement.

Stage 1. Standardized client intake

According to the Complaint, the representation of new clients allegedly began with standardized intake procedures utilizing predetermined questionnaires, templates, and scripted communications. Ford alleges that the initial collection of factual information followed uniform operational protocols rather than individualized legal analysis by licensed attorneys.³⁰

Stage 2. Delegation of substantive legal work

The Complaint further alleges that substantial portions of client communication, document collection, factual development, and case preparation were performed by non-

²⁷ Complaint ¶¶ 16–17.

²⁸ Complaint ¶ 17.

²⁹ Complaint ¶¶ 17–18.

³⁰ Complaint ¶¶ 19–20.

lawyer personnel, contract workers, and overseas virtual assistants. According to Ford, many of these operational tasks traditionally associated with attorney work were allegedly delegated before any meaningful attorney review occurred.³¹

Stage 3. Industrialized document production

Ford further alleges that the collected information was transformed into pleadings, correspondence, discovery responses, and other litigation documents through standardized production workflows using templates and technology-assisted drafting processes. According to the Complaint, this enabled large numbers of Lemon Law matters to be processed in a highly uniform manner.³²

Stage 4. Attribution to licensed attorneys

According to Ford, although much of the operational work was allegedly performed by non-lawyers, the resulting work product was subsequently attributed to licensed California attorneys for billing purposes. Ford alleges that these activities were substantially performed by non-lawyer personnel and overseas virtual assistants, while attorney participation and supervision are disputed factual questions.³³

Stage 5. Scalability of the alleged business model

According to the Complaint, this operational structure transformed individual Lemon Law representation into a scalable, high-volume litigation system. Ford alleges that standardization, delegation, and centralized document production enabled Quill simultaneously to increase case volume while expanding recoverable attorney's fees.³⁴

Procedural significance

From a litigation perspective, this portion of the Complaint serves a function extending beyond the mere description of office procedures. Ford attempts to demonstrate that the alleged billing practices were not isolated deviations attributable to individual attorneys, but the foreseeable result of an intentionally designed operational system. If proven, this theory would support the characterization of the alleged misconduct as an enterprise-wide practice rather than a series of isolated billing errors. Conversely, the defense will likely seek to demonstrate that these operational workflows reflected ordinary law-firm management, that licensed attorneys retained ultimate supervisory responsibility, and that the delegation of administrative and preparatory tasks was both lawful and commonplace in modern legal practice.

Procedural Observation

³¹ Complaint ¶¶ 20–21.

³² Complaint ¶¶ 20–21.

³³ Complaint ¶ 22.

³⁴ Complaint ¶¶ 22–23.

One feature of the Complaint deserves particular attention. The level of operational detail concerning Quill’s alleged internal workflows, personnel allocation, client management, billing practices, and document-production process is unusually high. While some of this information could potentially be reconstructed through reverse engineering from numerous Lemon Law cases, pleadings, billing records, and litigation experience, the specificity and internal coherence of the allegations may also be consistent with information originating from individuals possessing firsthand knowledge of the firm’s internal operations. At the present procedural stage, however, the Complaint does not identify the source of this information, and any conclusion regarding its origin would be speculative.

From a litigation strategy perspective, the source of such operational knowledge may become highly significant during discovery. If the allegations ultimately rely upon former employees, contractors, or other insiders with direct knowledge of the firm’s internal practices, witness credibility, documentary corroboration, and access to internal communications are likely to become central issues in the case.

If a significant portion of the Complaint ultimately proves to be based upon testimony from a former insider with firsthand knowledge of Quill’s internal operations, the litigation may shift from a dispute over billing practices to a credibility battle concerning the firm’s internal governance, workflows, and management decisions. Discovery would then likely focus not merely on billing records, but also on internal communications, workflow protocols, document-management systems, and the testimony of current and former personnel.

2.3.7. From Allegations to Evidence: The Strategic Role of Discovery

The Complaint should not be viewed as the plaintiff’s final evidentiary presentation. Rather, it serves as the procedural instrument necessary to unlock one of the most powerful phases of American civil litigation: discovery.

Under the Federal Rules of Civil Procedure, plaintiffs are not required to possess every internal document before commencing suit. Their immediate procedural objective is more modest but strategically decisive—to plead sufficient factual matter to survive a motion to dismiss under Rule 12(b)(6). Once that threshold is crossed, the litigation enters discovery, where the evidentiary landscape changes fundamentally.

From a litigation strategy perspective, the mechanism operates sequentially.

First, the Complaint alleges a coherent and plausible scheme rather than isolated billing disputes. The purpose is to demonstrate that the claims are sufficiently credible to justify judicial examination.

Second, surviving dismissal enables plaintiffs to obtain access to categories of evidence that ordinarily remain entirely within the defendants’ possession and control.

These materials may include internal billing records, time-entry databases, AI governance policies, internal compliance procedures, document-retention practices, employee

communications, quality-control protocols, compensation structures, training materials, and other electronically stored information relevant to the alleged practices.

Third, discovery allows plaintiffs to test whether the documentary evidence supports—or contradicts—the factual narrative presented in the Complaint. Internal communications, metadata, audit logs, version histories, and witness testimony may either reinforce the allegations or substantially weaken them.

Consequently, the litigation gradually shifts from pleading to proof.

For the defendants, this transition represents a significant procedural challenge. Once broad discovery begins, the focus is no longer limited to legal sufficiency of the Complaint but extends to the firm’s operational practices over multiple years. The dispute becomes increasingly evidence-driven rather than argument-driven.

Accordingly, one of the principal strategic objectives of the defense is likely to be limiting the scope of discovery wherever procedurally justified. Defendants may seek protective orders, invoke attorney-client privilege or work-product protection where applicable, challenge proportionality under Rule 26(b)(1), contest the relevance of requested materials, or otherwise narrow the categories of discoverable information.

Thus, the Complaint performs a function extending well beyond notice pleading. If it successfully opens the door to extensive discovery, its greatest procedural value may lie not in the allegations themselves, but in its ability to compel production of evidence capable of confirming—or refuting—the existence of the alleged institutional practices.

Chapter III. Legal Basis of the Complaint

The Complaint is based exclusively on two statutory causes of action: (1) violation of California Penal Code § 496 and ******(2) violation of California Business and Professions Code § 17200.³⁵ Unlike many commercial disputes involving legal services, Ford does not assert common-law fraud, legal malpractice, breach of fiduciary duty, or other traditional tort claims. Instead, it seeks relief solely under two California statutes governing civil liability for allegedly unlawful commercial conduct.^{36,37}

This litigation strategy appears deliberate. The first cause of action relies upon California Penal Code § 496, under which Ford alleges that the defendants knowingly received and retained property obtained through unlawful conduct. The second cause of action invokes California’s Unfair Competition Law, alleging that the defendants engaged in unlawful,

³⁵ Complaint ¶¶ 53–59, 60–67.

³⁶ California Penal Code § 496. *Receiving or concealing stolen property; civil remedies*. Official California Legislative Information. Available at: https://leginfo.ca.gov/faces/codes_displaySection.xhtml?sectionNum=496.&lawCode=PEN (accessed: 05.08.2026).

³⁷ California Business and Professions Code § 17200. *Unfair Competition*. Official California Legislative Information. Available at: https://leginfo.ca.gov/faces/codes_displaySection.xhtml?sectionNum=17200.&lawCode=BPC (accessed: 05.08.2026).

unfair, or fraudulent business practices within the meaning of Business and Professions Code § 17200.

The following sections analyze each statutory claim separately and examine how the Complaint attempts to satisfy their respective legal elements.

3.1. First Cause of Action: Violation of California Penal Code § 496

The first cause of action asserted in the Complaint is based on California Penal Code § 496, a statute originally enacted to criminalize the knowing receipt, concealment, sale, or withholding of stolen property. Although primarily criminal in nature, subsection (c) of the statute expressly authorizes a civil action by any person injured by conduct prohibited under the section and permits recovery of **three times the amount of actual damages, costs of suit, and reasonable attorney’s fees.**³⁸

Ford relies upon this provision to argue that the defendants knowingly obtained and retained legal fees allegedly generated through an unlawful billing scheme described throughout the Complaint. Rather than treating the disputed invoices as isolated instances of excessive billing, the Complaint characterizes the alleged conduct as a systematic practice through which the defendants intentionally received and retained property to which they were not lawfully entitled.

According to the Complaint, the alleged misconduct was not limited to individual attorneys but reflected an institutional business practice involving technology-assisted document generation, allegedly inflated billable hours, and systematic overcharging of Ford. On that basis, Ford contends that the legal fees paid under this alleged scheme constitute property recoverable under California Penal Code § 496(c).

Whether these allegations ultimately satisfy the statutory requirements of § 496 will likely become one of the central legal issues in the litigation. At the pleading stage, however, Ford’s objective is more limited: to allege sufficient facts which, if proven, would permit the application of the statute and the civil remedies provided therein.

3.2 How the Complaint Attempts to Satisfy the Elements of California Penal Code § 496

To prevail under California Penal Code § 496(c), Ford must ultimately establish not merely the existence of disputed legal fees, but facts sufficient to bring the alleged conduct within the scope of the statute. At this stage of the proceedings, however, the Complaint seeks only to allege a plausible factual basis supporting each statutory element.

The first element concerns the existence of property allegedly obtained through unlawful conduct. Ford identifies the legal fees paid to the defendants as the property at issue and alleges that these payments resulted from a systematic billing scheme rather than legitimate legal services.

³⁸ California Penal Code § 496.

The second element concerns the defendants' knowledge. The Complaint repeatedly alleges that the challenged billing practices were not accidental or isolated errors but were implemented, supervised, and financially exploited over an extended period. By emphasizing repeated conduct, internal procedures, and firm-wide practices, Ford attempts to support an inference that the defendants knowingly retained the disputed funds.

The third element concerns receipt or retention of the property. According to the Complaint, the defendants not only received payment but continued to retain fees allegedly obtained through the challenged billing practices despite the absence of any lawful entitlement to those amounts.

Viewed as a whole, the Complaint seeks to transform what might otherwise appear to be an ordinary fee dispute into a statutory claim for civil recovery under Penal Code § 496(c). Whether that legal theory ultimately succeeds will depend not only upon the factual record developed during discovery but also upon the court's interpretation of the statute and its application to the alleged billing practices.

3.3. Potential Weaknesses of the First Cause of Action

Although California Penal Code § 496 provides a powerful civil remedy, its application to disputes concerning professional legal fees is likely to become one of the principal legal issues in this litigation.

From the defendant's perspective, the central argument is unlikely to focus solely upon the factual allegations contained in the Complaint. Rather, the defense may first challenge the legal applicability of Penal Code § 496 itself.

The defendant may argue that the dispute concerns the reasonableness of attorney billing practices rather than the receipt or retention of "stolen property" within the meaning of the statute. If accepted, such an interpretation would substantially narrow the scope of § 496 and potentially remove the case from the statutory framework upon which Ford's first cause of action depends.

The defense is also likely to contend that disputed legal fees, even if allegedly excessive, remain contractual payments arising from an attorney-client relationship rather than property obtained through theft or comparable criminal conduct. Under that theory, the proper remedies would lie, if anywhere, in contract law, professional liability, restitution, or attorney-discipline proceedings rather than under a criminal statute providing civil treble damages.

Ford, however, advances a fundamentally different theory. The Complaint does not characterize the disputed invoices as isolated overbilling or professional negligence. Instead, it alleges a deliberate, systematic billing scheme through which the defendants knowingly obtained and retained funds to which they were not legally entitled. It is this alleged institutional scheme, rather than the individual invoices themselves, that Ford seeks to bring within the scope of Penal Code § 496(c).

Accordingly, one of the principal questions before the court will not simply be whether excessive billing occurred, but whether the alleged conduct—if proven—falls within the category of conduct that the California Legislature intended § 496(c) to reach.

The Defendant may further argue that disputes concerning the accuracy or reasonableness of attorney billing ordinarily sound in contract, restitution, professional discipline, or malpractice, and that California Penal Code § 496(c) should not be interpreted to convert every instance of systematic overbilling into civil theft. Whether *Bell* and *Siry* extend to the alleged fabrication and reassignment of time records in the present attorney-fee context remains an open and contested question.

3.4. Second Cause of Action: Violation of California Business and Professions Code § 17200

The Complaint’s Second Cause of Action is brought under California’s Unfair Competition Law (“UCL”), codified at ****California Business and Professions Code § 17200 et seq.****³⁹ Unlike the First Cause of Action under California Penal Code § 496, which focuses on the alleged receipt of property obtained through theft or fraud, the UCL establishes an independent statutory basis for civil liability by prohibiting **“any unlawful, unfair or fraudulent business act or practice.”** According to Ford, Quill & Arrow LLP’s alleged billing model, staffing practices, technology-assisted legal work, and fee-generation system collectively constitute an unlawful business practice within the meaning of § 17200.⁴⁰

The procedural significance of the UCL claim lies in its breadth. Rather than relying exclusively upon the alleged violations of Penal Code § 496, Ford incorporates the same factual allegations into an independent statutory cause of action under the Business and Professions Code. The Complaint alleges that Quill’s conduct was **unlawful** because it allegedly violated other provisions of California law; **unfair** because the firm’s business model allegedly prioritized fee generation over the interests of its clients; and **fraudulent** because the alleged billing and litigation practices systematically misrepresented the legal services actually performed.

From a litigation perspective, this pleading strategy substantially strengthens the Complaint. Even if the defendants were ultimately successful in narrowing or defeating portions of the Penal Code claim, the court would still be required to determine whether the firm’s overall business practices violated California’s Unfair Competition Law. Accordingly, the Second Cause of Action functions as an independent alternative basis for civil liability, reducing the plaintiff’s dependence upon a single statutory theory while significantly increasing the defendants’ litigation exposure.

Viewed strategically, the UCL claim transforms the dispute from a challenge to individual billing entries into an attack upon the firm’s overall business model. This broader

³⁹ California Business and Professions Code. Division 7. General Business Regulations. Part 2. Unfair Competition. Chapter 5. Section 17200 (Unfair Competition) // California Legislative Information. URL: https://leginfo.ca.gov/faces/codes_displaySection.xhtml?lawCode=BPC§ionNum=17200 (accessed: 05.08.2026).

⁴⁰ Complaint ¶¶ 60–67.

statutory framework allows Ford to argue that the alleged misconduct was not merely a series of isolated billing irregularities but rather an integrated system of unfair competition affecting the firm's relationships with clients and the administration of California's consumer protection regime.

Procedural Commentary

In my opinion, the inclusion of a UCL claim is far from incidental. It represents a classic example of alternative pleading designed to maximize the Complaint's procedural resilience. By coupling the Penal Code § 496 claim with California Business and Professions Code § 17200, Ford reduces its dependence upon a single statutory theory and increases the likelihood that at least one cause of action will survive an early motion to dismiss.

The strategic value of the UCL claim extends beyond its broad statutory language. Unlike the Penal Code claim, which requires the court to resolve issues concerning the alleged receipt of property obtained through theft or fraud, the UCL invites the court to examine the legality and fairness of the defendants' overall business practices. Consequently, the litigation focus shifts from individual billing entries to the firm's systemic operating model.

From the defendants' perspective, this substantially complicates the defense strategy. It is no longer sufficient merely to dispute particular invoices or challenge isolated factual allegations. The defense must also persuade the court that Quill's billing system, staffing model, technology-assisted legal work, internal supervision, and client communications did not collectively amount to an unlawful or unfair business practice under California law.

Accordingly, the Second Cause of Action should be viewed not as a secondary claim, but as an essential structural component of the Complaint. Even if the first cause of action were narrowed during the pleading stage, the UCL claim may independently preserve broad discovery into the firm's internal practices, billing systems, document-generation procedures, and management decisions. From a litigation strategy standpoint, that may ultimately prove to be one of the plaintiff's principal objectives.

Chapter IV. Potential Defense Strategy

4.1. The Rule 12(b)(6) Motion: The Defendant's First Procedural Response

From a procedural perspective, the Defendant's first and most predictable step will likely be a motion to dismiss pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure. Such a motion would not require the court to determine whether Ford's factual allegations are true. Instead, the court would be asked to decide whether the Complaint contains sufficient factual matter to state legally cognizable claims under California Penal Code § 496 and California Business and Professions Code § 17200.⁴¹

⁴¹ Federal Rules of Civil Procedure. Rule 12(b)(6). Failure to State a Claim upon Which Relief Can Be Granted // Legal Information Institute, Cornell Law School (accessed on August 5, 2026).

The Defendant's principal argument will almost certainly rely upon the pleading standards established by the United States Supreme Court in *Bell Atlantic Corp. v. Twombly*⁴² and *Ashcroft v. Iqbal*.⁴³ Those decisions require federal courts to distinguish between factual allegations, which must be accepted as true at the pleading stage, and legal conclusions, which receive no such presumption. Consequently, the Defendant is expected to argue that significant portions of Ford's Complaint merely characterize the firm's conduct as a "fraudulent scheme," "systemic misconduct," or "unfair business practice" without pleading facts sufficient to satisfy the statutory elements of the asserted causes of action.

More specifically, the Defendant may contend that the Complaint attempts to transform what is fundamentally a dispute concerning attorney billing practices into a claim for civil theft under California Penal Code § 496. The motion is therefore likely to argue that allegedly excessive, inaccurate, or inefficient billing, even if ultimately established, does not automatically constitute receipt of stolen property within the meaning of the statute. In support of this position, the Defendant may rely upon judicial decisions emphasizing that Rule 12(b)(6) requires factual plausibility rather than legal rhetoric.

The Plaintiff, however, is expected to respond that the Complaint extends far beyond generalized accusations. Unlike the complaints dismissed in *Twombly* and *Iqbal*, Ford identifies specific billing practices, describes the alleged mechanics of the billing system, explains how technology-assisted work allegedly affected attorney billing, and attempts to connect these factual allegations to each statutory cause of action. The Plaintiff will therefore argue that the Complaint satisfies the federal plausibility standard because it provides the Defendant with fair notice of both the alleged misconduct and the legal basis of each claim.

From the court's perspective, the Rule 12(b)(6) motion is therefore unlikely to turn upon abstract pleading doctrine. Rather, the central issue will be whether the factual allegations contained in the Complaint are sufficiently specific to cross the boundary separating legal conclusions from well-pleaded factual assertions. That determination will require the court to examine the Complaint as a whole rather than isolated paragraphs or individual characterizations of the alleged misconduct.

Procedural Commentary

For an experienced litigator, the Rule 12(b)(6) motion serves a broader strategic purpose than simply seeking dismissal. Even where complete dismissal is not achieved, such motions frequently narrow the issues for litigation, eliminate legally deficient theories, clarify disputed statutory elements, and define the permissible scope of subsequent discovery.

⁴² *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007).

⁴³ *Ashcroft v. Iqbal*, 556 U.S. 662 (2009).

Accordingly, the Rule 12(b)(6) stage should be viewed as the opening engagement of the litigation rather than its conclusion. The court's ruling will determine not only which claims survive, but also the procedural framework within which discovery, expert testimony, dispositive motions, and ultimately trial will proceed.

4.2. Rule 9(b): Can the Defendant Attack the Fraud Allegations for Lack of Particularity?

If the Complaint survives scrutiny under Rule 12(b)(6), the Defendant's next procedural step will almost certainly focus on Rule 9(b) of the Federal Rules of Civil Procedure, which requires that allegations of fraud be pleaded with particularity.⁴⁴ Unlike Rule 8(a), Rule 9(b) imposes a heightened pleading standard intended to ensure that allegations of fraud are supported by sufficiently specific factual assertions before a defendant is subjected to the burdens of extensive discovery.

The Defendant is likely to rely principally upon *Vess v. Ciba-Geigy Corp. USA*⁴⁵ and *Kearns v. Ford Motor Co.*⁴⁶ In *Vess*, the Ninth Circuit held that where a claim is grounded in a unified course of fraudulent conduct, Rule 9(b) applies to the claim as a whole. *Kearns* further confirmed that this heightened standard extends to California UCL claims when they are based upon allegations of fraud. The court emphasized that a complaint must identify the “**who, what, when, where, and how**” of the alleged misconduct and rejected generalized allegations that failed to specify the particular representations, the speaker, the timing, and the plaintiff's reliance.

Against that background, the Defendant will likely argue that Ford's Complaint describes an alleged systemic billing scheme in broad institutional terms while failing, with respect to numerous challenged transactions, to identify the specific attorney involved, the precise billing entry alleged to be false, the exact misrepresentation, and the corresponding financial injury. The motion may therefore contend that, although the Complaint is lengthy, its theory of fraud is pleaded at an institutional level rather than through transaction-specific allegations satisfying Rule 9(b).

The Plaintiff, however, is expected to distinguish the present litigation from *Kearns*. There, the complaint failed because it did not identify what the advertisements actually stated, when the plaintiff saw them, which statements influenced his purchasing decision, or who made the alleged representations.⁴⁷ By contrast, Ford attempts to plead the alleged mechanics of the billing system itself through representative examples, descriptions of internal billing practices, staffing methods, technology-assisted document preparation, and the operational structure of the alleged scheme. The Plaintiff is therefore likely to argue that Rule 9(b) does not require pleading every individual billing entry before

⁴⁴ Federal Rules of Civil Procedure. Rule 9(b). *Pleading Special Matters*.

⁴⁵ *Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097 (9th Cir. 2003).

⁴⁶ *Kearns v. Ford Motor Co.*, 567 F.3d 1120 (9th Cir. 2009).

⁴⁷ *Kearns v. Ford Motor Co.*, 567 F.3d 1120 (9th Cir. 2009).

discovery, particularly where many of the relevant records are alleged to remain exclusively within the Defendant’s possession. Courts have recognized this distinction in later Ninth Circuit applications of *Kearns*, sustaining complaints that identified specific allegedly false statements and explained why they were false with sufficient factual detail.

The central issue before the district court will therefore not be whether Rule 9(b) applies—it plainly does if the claims sound in fraud—but whether Ford has alleged enough representative facts to transform an accusation of systemic fraud into a sufficiently particularized federal pleading. That determination will likely require the court to evaluate the Complaint as an integrated factual narrative rather than as a collection of isolated allegations.

Procedural Commentary

From a litigation standpoint, Rule 9(b) represents one of the Defendant’s strongest procedural tools because it challenges not the truth of the allegations but the manner in which they have been pleaded. At the same time, the Plaintiff is not required at the pleading stage to prove the alleged scheme or disclose every item of evidence expected to emerge during discovery. The procedural dispute is therefore likely to focus on a narrower question: whether the representative factual allegations contained in the Complaint provide sufficient notice of the alleged fraudulent mechanism to permit the Defendant to prepare an informed defense.

4.3. Challenging the Plaintiff’s Reliance on California Penal Code § 496

Among all procedural defenses available in the present litigation, the Defendant’s challenge to the Plaintiff’s reliance upon California Penal Code § 496 is likely to become the most legally significant. Unlike the pleading standards discussed above, this issue concerns the substantive reach of the statute itself and, more specifically, whether the factual allegations contained in the Complaint fall within the scope of California’s civil theft remedy.

The Defendant will almost certainly argue that Penal Code § 496 was never intended to convert disputes concerning attorney billing practices into civil theft actions carrying treble damages and attorney’s fees. The motion is likely to characterize the present controversy as a commercial dispute arising from the provision of legal services rather than from the receipt or withholding of property obtained by theft. According to this argument, even assuming that particular billing entries were inaccurate or excessive, such conduct would ordinarily give rise to contractual, malpractice, or fee-related remedies rather than liability under a criminal statute designed to combat theft.

In support of this position, the Defendant may attempt to distinguish the present litigation from *Bell v. Feibush*, where the California Court of Appeal held that a civil action under Penal Code § 496(c) does not require a prior criminal conviction and that the statutory phrase “*property obtained in any manner constituting theft*” includes **theft by false**

pretenses.⁴⁸ The Defendant is likely to argue that *Bell* involved an alleged fraudulent loan scheme in which the defendant obtained money through affirmative false representations, whereas the present litigation concerns the performance and billing of legal services within an existing attorney-client relationship. The defense will therefore contend that *Bell* should not be extended to ordinary disputes concerning legal fees or professional services.

The Plaintiff, however, is expected to rely upon the same authorities for precisely the opposite proposition. Ford will likely argue that both *Bell v. Feibush* and the California Supreme Court's subsequent decision in *Siry Investment, L.P. v. Farkhondehpour*⁴⁹ confirm that Penal Code § 496(c) is not confined to traditional stolen-goods cases. The statute may apply where the pleaded and proven conduct constitute theft, including theft by false pretenses, rather than merely a breach of contract or ordinary commercial wrongdoing. Ford will therefore contend that if the Complaint ultimately proves that attorney's fees were knowingly obtained through systematic misrepresentations, the alleged conduct falls within the statutory language interpreted by the California courts.

Accordingly, the central dispute is unlikely to concern the meaning of Penal Code § 496 in the abstract. The statute's availability in civil litigation has largely been confirmed by California appellate authority. The real controversy will instead concern **characterization**: whether the district court views the alleged conduct as an ordinary dispute over professional billing practices or as an integrated scheme by which money was allegedly obtained through fraudulent representations amounting to theft by false pretenses. That factual and legal characterization may become one of the pivotal issues in the litigation.

Procedural Commentary

From a litigation perspective, this portion of the anticipated motion to dismiss represents more than an exercise in statutory interpretation. It reflects a broader strategic effort by the Defendant to persuade the court that the case belongs within the traditional framework of attorney-fee disputes rather than within California's civil theft jurisprudence. Conversely, the Plaintiff's objective will be to demonstrate that the Complaint alleges not merely overbilling or poor professional judgment, but a coordinated mechanism by which money was allegedly obtained through intentional deception.

The eventual resolution of this issue will therefore depend less upon the existence of authority such as *Bell* or *Siry*—both of which recognize the availability of civil remedies under Penal Code § 496(c)—than upon whether the factual allegations ultimately establish conduct amounting to theft by false pretenses rather than a conventional commercial dispute.

⁴⁸ *Bell v. Feibush*, 212 Cal.App.4th 1041 (2013).

⁴⁹ *Siry Investment, L.P. v. Farkhondehpour*, 13 Cal.5th 333 (2022).

4.4. Challenging the Plaintiff's UCL Claim under California Business and Professions Code § 17200

The Defendant is likewise expected to challenge the Plaintiff's Second Cause of Action under California's Unfair Competition Law ("UCL"), arguing that the Complaint fails to establish liability under any of the statute's three independent prongs: **unlawful**, **unfair**, or **fraudulent** business practices.

The Defendant will likely begin with the California Supreme Court's decision in *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.*, where the court emphasized that although the UCL is intentionally broad, it is not without limits. The statute does not convert every commercial dispute into an unfair competition claim, and the three statutory prongs remain analytically distinct.⁵⁰ The defense will therefore argue that Ford improperly conflates alleged billing disputes with statutory unfair competition without demonstrating that the challenged conduct independently satisfies one or more of the UCL's separate standards.

The Defendant is also likely to rely upon *Kearns v. Ford Motor Co.*, arguing that because the UCL claim is expressly grounded in allegations of fraud, the entire claim remains subject to the heightened pleading requirements of Rule 9(b). The Ninth Circuit expressly rejected attempts to avoid Rule 9(b) merely by invoking the "unfair" prong where the complaint, viewed as a whole, alleged a unified fraudulent course of conduct.

A further line of defense may focus upon **standing and causation**. In *Kwikset Corp. v. Superior Court*, the California Supreme Court held that a private plaintiff proceeding under the UCL must demonstrate both an economic injury and that such injury occurred "**as a result of**" the challenged unfair competition.⁵¹ The Defendant may therefore argue that Ford's alleged injury resulted from ordinary litigation expenses or contractual fee disputes rather than from any independently actionable unfair business practice. Recent Ninth Circuit authority continues to emphasize that where a UCL claim proceeds under the fraud prong, the plaintiff must adequately plead reliance and the causal relationship between the alleged misrepresentation and the claimed economic injury.

The Plaintiff, however, is likely to respond that the Complaint does not rely exclusively upon the fraudulent prong of § 17200. Instead, Ford alleges that the Defendant's conduct was simultaneously **unlawful**, **unfair**, and **fraudulent**, thereby invoking all three statutory theories recognized by the California Supreme Court. The Plaintiff will further argue that the alleged economic injury consists not merely of disputed attorney's fees, but of payments allegedly obtained through a systemic billing practice that violated both California statutory law and the policies underlying the Song-Beverly Consumer Warranty Act.

Accordingly, the principal dispute under the UCL is unlikely to concern the breadth of § 17200 itself, which California courts have repeatedly described as intentionally

⁵⁰ *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.*, 20 Cal. 4th 163 (1999).

⁵¹ *Kwikset Corp. v. Superior Court*, 51 Cal. 4th 310 (2011).

expansive. Rather, the litigation will focus on whether the Complaint sufficiently connects the alleged billing practices with one or more of the statute's three independent bases of liability and whether the alleged economic injury is legally attributable to the challenged conduct.

Procedural Commentary

Unlike the challenge to Penal Code § 496, the Defendant's objective here is unlikely to be the wholesale rejection of the UCL as an inappropriate statutory vehicle. California courts have consistently recognized the broad remedial purpose of § 17200. Instead, the anticipated defense strategy will likely concentrate upon narrowing the Plaintiff's theory of liability by arguing that the Complaint fails to satisfy the specific doctrinal requirements governing each UCL prong, particularly where the claim sounds in fraud.

Consequently, this phase of the litigation is likely to involve less debate over the meaning of the statute itself than over the relationship between the Complaint's factual allegations and the distinct analytical framework established by California UCL jurisprudence.

Chapter V. From Civil Fraud to Criminal Exposure: Potential Criminal Consequences if the Allegations Are Proven

The present litigation is a civil proceeding. The Complaint does not charge the Defendant with criminal offenses, nor does it seek criminal sanctions. Nevertheless, the factual allegations advanced by the Plaintiff inevitably raise a broader legal question extending beyond civil liability. If those allegations were ultimately established through admissible evidence and independently evaluated by the appropriate prosecutorial authorities, could they also support criminal prosecution under California or federal law?

This chapter addresses that question solely as a matter of legal analysis. It neither assumes that the allegations are true nor suggests that criminal proceedings will necessarily follow. Rather, it identifies the principal criminal statutes that could become relevant if the factual allegations contained in the Complaint were ultimately proven beyond a reasonable doubt.

5.1. California Penal Code § 532 — Theft by False Pretenses

The first California statute that would likely attract prosecutorial attention is California Penal Code § 532, which criminalizes obtaining money, labor, or property by means of knowingly false or fraudulent representations or pretenses.⁵²

If the Plaintiff ultimately established that attorney's fees were intentionally obtained through knowingly false billing entries, misrepresentations concerning legal work actually performed, attorney participation, or other material representations made for the purpose of obtaining payment, prosecutors could examine whether the statutory elements of theft by false pretenses had been satisfied.

⁵² California Penal Code § 532 (Theft by False Pretenses).

The critical legal issue would not be whether billing errors occurred, but whether the evidence established a deliberate scheme to obtain money through intentional deception. California courts have consistently distinguished criminal fraud from contractual disputes, negligence, or professional malpractice by requiring proof of fraudulent intent and actual reliance upon the alleged misrepresentations.

5.2. California Penal Code § 182 — Criminal Conspiracy

If the evidence were to establish that multiple individuals knowingly participated in a coordinated scheme to obtain attorney's fees through fraudulent representations, prosecutors could additionally examine California Penal Code § 182, governing criminal conspiracy.⁵³

Under California law, conspiracy requires proof of an agreement between two or more persons to commit a criminal offense together with the commission of at least one overt act in furtherance of that agreement. Mere employment within the same law firm or participation in common billing procedures would not, standing alone, satisfy the statute. The prosecution would instead be required to establish knowing participation in a common unlawful objective.

Accordingly, one of the principal factual issues would concern whether the alleged conduct reflected isolated individual misconduct or an institutional practice knowingly implemented or approved by multiple participants.

5.3. 18 U.S.C. § 1341 — Mail Fraud

Should the alleged billing scheme involve the use of the United States mail for transmitting invoices, payment demands, settlement correspondence, or other materials furthering the alleged fraudulent scheme, federal prosecutors could evaluate the applicability of **18 U.S.C. § 1341 (Mail Fraud).**⁵⁴

The statute has historically served as one of the principal federal tools for prosecuting complex financial and professional fraud. Its application would depend not merely upon the mailing of documents but upon proof that the mailings were used in furtherance of an intentional scheme to defraud.

5.4. 18 U.S.C. § 1343 — Wire Fraud

Modern legal practice relies extensively upon electronic communications. Consequently, if the alleged fraudulent conduct involved emails, electronic billing systems, electronic payment requests, cloud-based billing platforms, or interstate electronic communications, prosecutors could also examine **18 U.S.C. § 1343 (Wire Fraud).**⁵⁵

⁵³ California Penal Code § 182 (Criminal Conspiracy).

⁵⁴ 18 U.S.C. § 1341 (Mail Fraud).

⁵⁵ 18 U.S.C. § 1343 (Wire Fraud).

Federal wire fraud has become one of the most frequently charged offenses in complex white-collar prosecutions because virtually every modern commercial transaction utilizes interstate electronic communications. Nevertheless, prosecutors would still bear the burden of proving each statutory element beyond a reasonable doubt.

5.5. 18 U.S.C. § 371 — Conspiracy

Where the evidence establishes coordinated activity involving multiple participants, federal prosecutors may additionally consider 18 U.S.C. § 371, which criminalizes conspiracies to commit offenses against the United States (federal offense or conspiracy to defraud the United States).⁵⁶

As under California law, the essential issue would not be parallel conduct alone but the existence of an agreement to commit unlawful acts together with overt acts undertaken in furtherance of that agreement.

5.6. 18 U.S.C. §§ 1961–1968 — Racketeer Influenced and Corrupt Organizations Act (RICO)

Among the federal statutes potentially implicated by the allegations contained in the Complaint, none would carry greater legal significance than the Racketeer Influenced and Corrupt Organizations Act (“RICO”), codified at **18 U.S.C. §§ 1961–1968.**⁵⁷

RICO does not criminalize ordinary commercial disputes, professional negligence, or isolated acts of fraud. Rather, it requires proof of a legally defined enterprise engaged in a pattern of racketeering activity supported by qualifying predicate offenses. Where mail fraud or wire fraud constitute the alleged predicate acts, prosecutors must independently establish every statutory element of those underlying offenses before a RICO theory may even be considered.

Accordingly, the present Complaint does not itself establish a basis for RICO liability. Nevertheless, should competent evidence ultimately demonstrate the existence of a continuing enterprise engaging in repeated predicate acts of mail fraud or wire fraud, federal prosecutors could examine whether the statutory prerequisites for a RICO prosecution are satisfied.

Chapter VI. Beyond AI: The Potential Impact of *Ford v. Quill* on the Future of Legal Practice

Ford v. Quill is not expressly an AI case. Its significance for AI-assisted legal practice arises from the broader problem of attribution: **who actually performed the work, who**

⁵⁶ 18 U.S.C. § 371 (Conspiracy to Commit Offense or to Defraud the United States).

⁵⁷ 18 U.S.C. §§ 1961–1968 (Racketeer Influenced and Corrupt Organizations Act).

supervised it, how it was presented in billing records, and who bears responsibility for the resulting legal service.

If *Ford v. Quill* ultimately results in a judicial precedent favorable to the Plaintiff, its consequences may extend far beyond the immediate parties. The litigation could accelerate a comprehensive re-examination of the legal profession's economic model, billing practices, disclosure obligations, and professional standards. Among the reforms that may reasonably emerge are:

- mandatory disclosure of technology-assisted legal work not only to courts, where required by judicial orders or procedural rules, but also to clients whenever AI materially contributes to legal research, drafting, document review, contract analysis, or other billable legal services;
- enhanced billing transparency, requiring law firms to disclose whether work was performed by partners, associates, contract attorneys, offshore legal personnel, automated systems, or combinations thereof;
- expanded professional duties of supervision, reinforcing the attorney's non-delegable responsibility for verifying technology-assisted work before submission to courts or delivery to clients;
- new categories of legal malpractice claims alleging failure to disclose technology-assisted legal services, unreasonable delegation of professional judgment, inadequate supervision, inaccurate billing, or negligent reliance upon automated legal systems;
- strengthened client rights to challenge legal invoices where the nature, extent, or value of technology-assisted work was not adequately disclosed;
- increased internal auditing of billing practices, technology-assisted workflows, and law-firm compliance systems by regulators, malpractice insurers, corporate clients, and courts;
- amendments to professional conduct rules governing attorney certification, technological competence, disclosure obligations, and technology-assisted legal practice;
- greater scrutiny by malpractice insurers, potentially requiring documented AI governance policies, internal verification procedures, billing controls, and compliance protocols as conditions of professional liability coverage.

Taken together, these developments would represent considerably more than regulation of artificial intelligence. They would amount to a structural transformation of the economics, governance, and professional accountability of modern legal practice.

Whether the Plaintiff ultimately prevails or the Defendant successfully defeats some or all of the asserted claims, this litigation has already raised questions that are unlikely to disappear. Courts, regulators, bar associations, malpractice insurers, corporate legal departments, and clients may soon be required to reconsider not only **how legal work is performed**, but also **how it is priced, supervised, disclosed, verified, documented, and explained to those who pay for it.**

Depending upon the courts' ultimate resolution of this litigation, the lasting significance of *Ford v. Quill* may become the catalyst for the most significant reform of the legal services industry in decades, fundamentally reshaping the economics of legal practice,

attorney billing, professional supervision, AI disclosure, client transparency, and the allocation of professional responsibility.

If that occurs, *Ford v. Quill* will be remembered not merely as another dispute over attorney's fees, but as the case that compelled the legal profession to reconsider the foundations of how legal services are created, delivered, supervised, disclosed, and valued in the age of artificial intelligence. At the present pleading stage, these institutional consequences remain contingent upon the factual development of the case and the judicial treatment of Ford's statutory theories.

References

1. Mata v. Avianca, Inc., No. 22-cv-1461 (S.D.N.Y. 2023).
2. Kildeev A., Rule 12(b)(6) As the Procedural Architecture of Artificial Intelligence Litigation in the United States; ISSN 3033-7674.Scientific Platform 21st Century Journal, No 4 (April 2026), pp. 44-68. Electronic resource: <https://www.episs.ru> (accessed 04.08.2026).
3. Kildeev A., Nippon Life v. OpenAI: Tort, Unauthorized Practice of Law and the First Private Offensive against LLM-Assisted Legal Drafting; ISSN 3033-7674.Scientific Platform 21st Century Journal, No 4 (April 2026), pp. 15-43. Electronic resource: <https://www.episs.ru> (accessed 04.08.2026).
4. Kildeev A., Procedural Liability in the Age of LLMs; SSRN Working Paper No. 6648340.
5. Kildeev, A., Simulated Reasoning and the Crisis of Legal Liability (2026), SSRN Working Paper No. 6524139.
6. Song-Beverly Consumer Warranty Act, Cal. Civ. Code §§ 1790–1795.8 (West). Available at: <https://leginfo.legislature.ca.gov> (accessed: August 4, 2026).
7. Tanner Consumer Protection Act, Cal. Civ. Code § 1793.22. Available at: <https://leginfo.legislature.ca.gov> (accessed: August 4, 2026).
8. Cal. Civ. Code § 1794(d);
9. Murillo v. Fleetwood Enterprises, Inc., 17 Cal. 4th 985 (1998).
10. Robertson v. Fleetwood Travel Trailers of California, Inc., 144 Cal. App. 4th 785 (2006).
11. Electronic source: <https://atra.org/wp-content/uploads/2026/06/Complaint-in-Ford-v.-Quill-CDCA-06.18.2026.pdf> (accessed 04.08.2026)
12. California Penal Code § 496. Receiving or concealing stolen property; civil remedies. Official California Legislative Information. Available at: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?sectionNum=496.&lawCode=PEN (accessed: 05.08.2026).
13. California Business and Professions Code § 17200. Unfair Competition. Official California Legislative Information. Available at: https://leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?sectionNum=17200.&lawCode=BPC (accessed: 05.08.2026).
14. Federal Rules of Civil Procedure. Rule 12(b)(6). Failure to State a Claim upon Which Relief Can Be Granted // Legal Information Institute, Cornell Law School.

15. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007).
16. *Ashcroft v. Iqbal*, 556 U.S. 662 (2009).
17. Federal Rules of Civil Procedure. Rule 9(b). Pleading Special Matters.
18. *Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097 (9th Cir. 2003).
19. *Kearns v. Ford Motor Co.*, 567 F.3d 1120 (9th Cir. 2009).
20. *Bell v. Feibush*, 212 Cal.App.4th 1041 (2013).
21. *Siry Investment, L.P. v. Farkhondehpour*, 13 Cal.5th 333 (2022).
22. *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.*, 20 Cal. 4th 163 (1999).
23. *Kwikset Corp. v. Superior Court*, 51 Cal. 4th 310 (2011).
24. California Penal Code § 532 (Theft by False Pretenses).
25. California Penal Code § 182 (Criminal Conspiracy).
26. 18 U.S.C. § 1341 (Mail Fraud).
27. 18 U.S.C. § 1343 (Wire Fraud).
28. 18 U.S.C. § 371 (Conspiracy to Commit Offense or to Defraud the United States).
29. 18 U.S.C. §§ 1961–1968 (Racketeer Influenced and Corrupt Organizations Act).